

THE FEDERAL UNIVERSITY OF TECHNOLOGY, AKURE
SCHOOL OF MANAGEMENT TECHNOLOGY
DEPARTMENT OF ENTREPRENEURSHIP
FIRST SEMESTER EXAMINATION 2016/2017 SESSION

COURSE TITLE: INTRODUCTION TO ENTREPRENEURSHIP
COURSE CODE: EMT 301
INSTRUCTION: ANSWER ALL QUESTIONS
TIME ALLOWED: 1 HOUR

1. -----equated entrepreneurship with the concept of innovation and applied it to business context. (a) Penro (b) Richard Cantillon (c) Joseph Schumpeter (d) Robert Histrich
2. -----encompasses a passion towards the creation and the implementation of new concepts, as well as a disposition to take calculated risks. (a) innovation (b) intrapreneurship (c) invention (d) entrepreneurship
3. An individual who searches for change, responds to change and exploits the change as an opportunity is known as.....
4. is best described as doing something differently and has been described as discontinuous or complementary change. (a) Entrepreneurship (b) Innovation (c) Enterprise (d) Spin- off
5. List the 5 classifications of Entrepreneurs based on the level of willingness to create innovative ideas.
6. a).....
b).....
c).....
d).....
e).....
7. Entrepreneurship roles can be grouped into the following except ----- (a) visionary and innovative role (b) social role (c) cultural role (d) economical role
- * 8. Which of the following statement is not true of entrepreneurs? (a) They generally stick to the processes already in use (b) they are agents of change (c) They take risks (d) They apply innovative ideas
9. The process of gathering information about a company external events and relationships, in order to assist top management in its decision making is known as
(a)SWOT Analysis (b) Environmental Scanning (c) Environmental Evaluation (d) Business environment by adopting PESTEL model
10. ----- is an analysis carried out with the aim of finding out the workability and as well as the economic and commercial viability of an intended project.
11. Types of business plan include the following except
(a) Mini plans (b) Working plans (c) Financial plans (d) Presentation plans (e) Electronic plans
12. Which of the following is not a source of business finance?

(a) Bank overdraft (b) Trade credit (c) Angel financing (d) Dividends (e) Retained Earnings
13. ----- is the most important actor of the national innovation systems
a. Government
b. Industry

- c. Knowledge institution
 - d. Finance
14. Radical innovation can sometimes be referred to as _____
- a. Breakthrough
 - b. Discontinuous
 - c. Disruptive
 - d. All of the above
15. _____ And _____ Are the motivating factors needed by an entrepreneur in starting a business
16. Of the following, which is best identified as an independent entrepreneurship that produces a product or service that originated in a large company? (a) diversification (b) intrapreneurship (c) Trade- off (d) Entrepreneurship
17. According to OECD (2005), there are _____ types of innovations
- a. 2
 - b. 6
 - c. 5
 - d. 4
18. The following factors are needed in starting a new venture except:
- (a) Desire to start a business
 - (b) Possessing an entrepreneurial spirit
 - (c) A realistic business in view
 - (d) A functional business
19. The following are the characteristics of insurance except:
- (a) Sharing of losses
 - (b) Payment of fortuitous losses
 - (c) Risk transfer
 - (d) Subrogation
20. The two main types of insurance are and
21. The 4Ps in marketing are:
- (a) Price, product, promotion and place
 - (b) Principle, price, product and property
 - (c) Promotion, price, property and place
 - (d) Price, product, promotion and property
22. A conceptual Framework used for evaluating national innovativeness is known as _____
- a. National Innovation Systems
 - b. Research and Development
 - c. Policy
 - d. Innovation
23. The major key players in the external environments are as follows except?
- A. Suppliers
 - B. Employees
 - C. Competitors
 - D. Indirect service providers
24. The internal environment is referred to as macro-environment, while the external environment is referred to as micro-environment. True or False?
25. The environment is a major means of survival for entrepreneurial business and it creates opportunities and presents threats. True or false?
26. Information are collected in environmental scanning exercise using the following tools except?
- A. Questionnaire

- B. Advertisement
 - C. Company/Industry reports
 - D. Newspaper/Magazine
27. Macro business environment can be analysed by adopting PESTEL framework. True or False?
A. True
28. A good financial planning entails which of the following? (a) Maximizing profit
(b) Financing all projects (c) Avoiding idle cash (d) Debt financing
29. Highlight the stages involved in starting a new venture
30. The decision of the firm to commit its fund to the most viable project is known as (a) Financing decision (b) Investment decision (c) Liquidity decision (d) Dividend decision.
- * 31. defines an entrepreneur as a person who pays a certain price for a product to resell it at an uncertain price, thereby making decisions about obtaining and using the resources while consequently admitting the risk of enterprise (a) Joseph Schumpeter (b) Richard Cantillon (c) David McClelland (d) Knight
32. A partnership business is run based on agreement called?
- * 33. The law that regulates the formation of company is called?
34. In a business the document that regulates the internal activities of the company is called
35. is a process of recruitment, selecting, placement, training, development, compensating and managing the workforce of an organization.
36. The main activity in the national innovation systems is _____
a. Knowledge sharing
b. Communication
c. Politics
d. None of the above
- * 37. is the propounder of Entrepreneurship Innovations
a. Adams Smith
b. Schumpeter
c. Frank Knight
d. Peter Druker
38. The external business environment can be analysed by adopting SWOT analysis. True or False?
- * 39. An entrepreneur is someone who assumes the major risks of a new business by committing which of the following? (a) time (b) equity (c) career (d) all of the above
40. Which of the following accounts for the reason for conducting feasibility study?
(a) To assist project team to be more profit oriented (b) to evaluate the project life span (c) To avoid potential challenges to business plan (d) To attract or convince potential investors/ financiers.
- * 41. In contemporary Nigeria business environment, the performance of a business enterprise is predicated on the following factors except?
A. High cost of production
B. Low Sales
C. Product Differentiation
D. Poor power supply
42. The following are selection devices in selecting a new staff for employment except
(A) Application form

- (B) Wages or salary
- (C) Performance simulation text
- (D) Medical examination

43. is the promotional activities that is used to stimulate sales and demand of product

- (A) Sales promotion
- (B) contest,
- (C) raffle draws
- (D) incentive

44. _____ refers to the processes where people do new things or do things in new ways.

- a. Development
- b. Research
- c. Innovation
- d. Systems

45. All of the following are considered to be a myth associated with entrepreneurship except?.....(a) Successful entrepreneurs are born not made (b) First ventures are always successful (c) All entrepreneurs must willingly invest significant sums of money (d) An entrepreneur faces extraordinary business risks

46. Which of the following is not one of the common methods used for evaluating capital investment proposal?

- (A) Pay- Back Method
- (B) Capital Budgeting
- (C) Internal Rate of Return
- (D) Net Present Value

47 An insured is a policy holder that undertakes an

48 Indemnification is the process of?

- (A) Spreading of losses incurred by the few over the entire group
- (B) Transferring of risk from one person to another
- (C) Restoring the insured to his formal financial position
- (D) The amount an insured pays to the insurer

49. Feasibility study and business plan are prepared simultaneously. True or False?

50. Insurance contracts are contract

- (A) Unilateral contract
- (B) Bilateral contract
- (C) Commutative contract
- (D) Competent contract

51 The following are the elements for starting a venture:

- (a) Business, capital and Management
 - (b) Capital, Promotion and Idea
 - (c) Price, Product and Management
 - (d) Management, Promotion and Capital
52. Factors to be considered when selecting a form of business ownership are
- (A) extend of liability of the owner
 - (B) legal restriction
 - (C) taxation
 - (D) All of the above
53. The business environment has no influence on the operations and the performance of a business enterprise in wide perspective and Micro, Small and Medium Scale (MSMEs) in particular. True or False?
54. In a business the document that regulates the internal activities of the company is called
55. The following are types of partners except
- (a). Sleeping partners
 - (b). Nominal partners
 - (c). Active partners
 - (d). Limited partners
56. _____ are aimed at better addressing customers' needs and increasing the firm's sales
- a. Marketing innovations
 - b. Product innovations
 - c. Process innovations
 - d. Organisational innovations
57. Which of the following is not considered a common characteristic of an entrepreneur (a) self-confidence (b) willingness to take risks (c) integrity (d) external locus of control
58. Which of the following is not one of the main functions of financial manager?
- (a) Raising of funds (b) Allocation of funds (c) Distribution of dividends (d) Profit planning (e) Allocating benefits to sources of financing
59. The formation of partnership include the following except
- (a) Names of partners
 - (b) Payment of partner's salaries
 - (c) Duration of partnership
 - (d) Personal use of resources by any of the partner
60. In dissolution of partnership, the following factors are needed except
- (a) Death of a partner
 - (b) Joint decision
 - (c) Admission of new partners
 - (d) Court verdict

61. The sources of capital of Sole Proprietorship include the following except
- (a) Trade credits
 - (b) Personal savings
 - (c) Loan and Overdraft
 - (d) Undistributed profits
62. The following are the characteristics of Insurance except
- (a) Risk transfer
 - (b) Indemnification
 - (c) Insurance premiums
 - (d) Sharing of losses
63. Unemployment, dissatisfaction with present employment, loss of jobs are examples of
- (A) Push factors
 - (B) Pull factors
 - (C) Economic factors
 - (D) Social factors
64. The first step to venturing into any enterprise is to have a
- a. Vision
 - b. Idea
 - c. Innovation
 - d. All of the above
65. Common reasons for entrepreneurship failure include all the following except? (a) Lack of capital (b) poor implementation (c) adequate financial support (d) ineffective human resources
66. The formally documented output of the workability and practicality of a business idea is known as
- (a) Feasibility report (b) Feasibility study (c) Business plan (d) Financial plan
67. is forming the constitution of a company and defining its objectives and powers with regard to its dealings with the outside world.
68. is the heart of insurance.
69. involves the start – up process of a business over a long period of time.
70. In business environment, the acronym PESTEL stands for

Congratulations

on your Convocation

Sayo & Egun OGUN



24 False

25 True

26 q

27 True

28 q

29 Ideag generation

- Converting idea to business

- Identify resources

- Business plan & negotiation

- Birth commencement

- Business environment

30 b

31 Richard b

32 Partnership deed

34 AOA Article of Association

35 Companies and Allied Matter decree

35 Statting

36 q

37 b

38 True

39 q

1 c

2 q

3 Entrepreneur

4 q

5 Drone

Fabian

Innovative Visionary
Social

Imitative

6

7 c

8 q

9 b

10 Feasibility Study

11 b

12 c

13 q

14 q

15

16 b

17 q

18 q

19 q

20 Life assurance of general insurance

21 q

22 q

23 b

PRICES

- 1) c
 2) a
 3) Entrepreneur
 4) a
 5) Innovation
 6) None
 7) Imagination
 8) Fabric
 9) Seal
- 68) Posting /
 Sharing of files
 69) Venture
 creation
 70)
 P. Official
 E - econm
 S - Served
 can.
 T - term
 E - 6m
 L - lega
- 40)
 41) d
 42) b
 43) a
 44) c
 45) d
 46) b
 47) insurance policy
 48) c
 49) True
 50) b
 51) a
 52) d
 53) False
 54) A & A
 55) d
 56) a
- 57) d
 58) a
 59) b
 60) c
 61) d
 62) c
 63) Push
 64) b
 65) c
 66) a
 67) MCA